GROWING THE FIRST TIME INVESTOR

Designing Groww for Gen Z | Product thesis | Apoorva Pandey.

THE OPPORTUNITY :-

Groww has made investing easy to access. 70% of its new transacting users in the quarter ended June 2026 were under 35. What is still missing is confidence. A 22 years old with a first salary and rent to pay can open an account in minutes, but often can't tell what they are buying or what could go wrong.

As SEBI found that 93% of the individual F&O traders lost money over FY22 to FY24, with aggregate loss above 1.8 lakh crore. This isn't a Gen Z only number, but it shows what happens when risk taking outruns understanding.

Thesis: Groww's next growth lever is not more trades. It is more users who understand their first investments, stay calm through their first fall, and keep investing.

Primary user: 20 to 26 year-old, first salary or stipend, modest or irregular income, no investing background, many competing expenses.

01 • IN SCOPE: THE FIRST 90 DAYS

1. **Where do I start?** Goal first onboarding in three questions: goal, timeline, monthly,, amount. That ends in starter plan, such as emergency fund first, then a small index funds SIP.
2. **Where am I buying?** Plain language explanation at the moment of decision plus a downside simulator that shows a fund's real worst historical fall and recovery time applied to the user's own amounts.
3. **How do I stay consistent?** Payday-aligned SIPs, with a flexible amount that scale with income and pause without penalty, so one tight month doesn't end the habit.

02 • OUT OF SCOPE (FOR NOW)

Advanced trading terminals, derivative tooling, copy trading, social leaderboards, and a full planning financial suite. They serve other users, not the first-time investors, biggest barriers. I would also avoid gamification that rewards trading frequency or turns price movement into anxiety.

03 •THE SOLUTION:- CLARITY – CONFIDENCE – CONSISTENCY

1. **Clarity:** a goal-based home screen showing progress towards goal, not a wall of tickers, with jargon translated inline by money term decoder.
2. **Confidence:**-Bite size lesson plus a risk check before high-risk products. Users answer two to three questions on real loss scenarios instead of clicking through a generic disclaimer.
3. **Consistency:-** Optional payday nudges streaks that count months Invested, not trades made and respectful pause path for users who can't invest right now.
4. **Key trade-off:** less pressure now in exchange for deeper trust and longer retention later, some short-term trading volume is deliberately given up.

04 • MEASURING WHAT MATTERS

1. **North Star:-** percent of new users with an active SIP at day 90 who also passed the risk comprehension check.
2. **Funnel:-** onboarding completion– first investment – 30-day retention.
3. **Guardrails:-** Complaint rate, share of new users entering high-risk products within 30 days and a felt pressure to invest pulse survey.
4. **Targets** : -set only after baselining and testing a prototype with 10 to 15 first-time investors.

THE OUTCOMES

The user who understand their first investment knows that he could go wrong and make the next decision on their own.

Assumptions: *user is 20 to 26 years old, earns a modest for irregular income, uses mobile and has no prior investing.All app data is simulated..*

Evidence:- *Groww in Western relations, impact as EBI, analysis of profits and losses in the equity derivative segments, FY22 to FY24, 23, September 2024.*